

Document Title:	PR and PO Management
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1.0 REFERENCE SOP: Source to Procure (SCD-PSP-PRT-OP-001)

2.0 SCOPE AND APPLICABILITY:

- 2.1 All purchases of goods and/or services shall be coursed through SCD, except for the following items:
- 2.1.1 Charitable contributions
 - 2.1.2 Dues and general subscriptions (including professional associations, magazines, publications and newspapers, trade journals, e-books, membership dues for professional org.)
 - 2.1.3 Sponsorships of Okada to 3rd party
 - 2.1.4 Executive accounts such as sports membership
 - 2.1.5 Fee for exhibition, seminar, and professional training or development courses
 - 2.1.6 Legal, audit, entertainment, media buy, and accounting services
 - 2.1.7 Freelance consultants /individuals
 - 2.1.8 Payment to government or regulatory agencies (e.g. taxes , rates or business registration fee)
 - 2.1.9 Petty cash purchases
 - 2.1.10 Utilities
 - 2.1.11 Regular telecommunication expenses (e.g. IDD , local or mobile phones, facsimile, ISDN line subscription, broadband and so on)
 - 2.1.12 Employee travel advances/expenses
 - 2.1.13 Travel agent commissions/refunds
 - 2.1.14 Banking services
 - 2.1.15 Recruitment of entertainment talent acquisition
 - 2.1.16 Postage
 - 2.1.17 All media buy, inclusive of digital, prints and audio
 - 2.1.18 Gifts for VIP Players
 - 2.1.19 Online Purchase of Software (where no on-prem. supplier exists)
 - 2.1.20 Online travel booking agents

The Business Unit & Accounts Payable Team shall directly handle such requests.

3.0 DEFINITION OF TERMS:

- 3.1 **Sourcing Request Form (SRF)** is a document raised by the Business Units that initiates Procurement to execute the sourcing process of sourceable goods and services.
- 3.2 **Request for Quotation (RFQ)** invitation sent by the Company to a supplier to submit a quotation for the supply of goods and/or services where price is the main consideration for awarding.
- 3.3 **Request for Proposal (RFP)** invitation sent to a supplier by the Company to submit a proposal for the supply of goods and/or services where price is not the prime consideration for awarding.
- 3.4 **Request for Information (RFI)** is an activity initiated by Procurement which refers to seeking supplier information to support research when sourcing and shortlisting suppliers, and to gather information about potential suppliers and gain market intelligence.
- 3.5 **Purchase Requisition (PR)** is one of the documents that, once approved, initiates Procurement to execute the purchasing process.
- 3.6 **Purchase Order (PO)** is a document issued by the Company to its selected/awarded supplier for the supply of required goods/services indicating the full breakdown of the purchase to be made and all other commercial terms and specifications/scope of work.
- 3.7 **Blanket Purchase Order (BPO)** is a purchase order which the company places with its supplier to allow multiple delivery dates over a period of time, often negotiated to take advantage of predetermined pricing. It is normally used when there is a recurring need for expendable goods.
- 3.8 **Letter of Award (LOA)** is a letter that indicates an initial willingness to enter into a contractual obligation including the elements of a legally enforceable contract. The objective is to create a morally binding but not legally binding assurance. Issued as an optional discretion of Procurement.
- 3.9 **Contract** is a formal written agreement between the company and supplier for the delivery and supply of goods and/or services in conformity with an approved Purchase Order or scope of work and indicating all the terms and conditions that bind the parties for the purchase to be made. Contract should pass through for review and approval of Legal Team.
- 3.10 **Confidentiality and Non-Disclosure Agreement (CNDA)** lays out the company and supplier's responsibilities to protect each other's proprietary, confidential, and sensitive data in any form (paper or verbal). *Refer to most updated CNDA form from Legal Department.*
- 3.11 **Supplier** is a company or corporation or any entity representing the party who is responsible for the delivery of goods and/or services defined in the Contract/Purchase Order. It encompasses sub-contractors officially commissioned by the main supplier for the delivery of required goods and/or services.
- 3.12 **Accredited Supplier** is a supplier that has been appropriately assessed and approved to be classified as an "accredited" supplier of the company. For the purpose of this Manual, the term 'accredited vendor' shall also include 'Approved Supplier' or as defined and assessed by Supplier Accreditation policies.
- 3.13 **Winning Bidder** refers to the supplier who submitted the most competitive proposal on total cost of ownership - technical and commercial.
- 3.14 **Ringi**, as defined in the Ringi Policy, is a document which is circulated for the purposes of obtaining the approval of duly authorized persons in connection with the implementation of important business matters.

- 3.15 **Competitive Bidding** is a situation when there are at least three (3) vendors qualified, selected, and invited to join a bid.
- 3.16 **Bid Tabulation** is used by Procurement to comprehensively compare bids from multiple suppliers and recommend the best option to the Business Unit.
- 3.17 **Procurement** refers to the responsible procurement representative handling a project. He or she is responsible for the procurement project from sourcing to payment of goods/services.
- 3.18 **Business Unit** refers to the party within the Company who has a need for the goods and/ or services being requested to be purchased.
- 3.19 **Supply Chain Division (SCD)** refers to Procurement and Supply Chain Systems and Administration encompassing Logistics, Warehouse, Supplier Relationship, Contract Management, and Procurement Systems.

4.0 RESPONSIBILITY:

4.1 Requestor / Business Units (BU)

- 4.1.1 Responsible in raising inquiry of SRF which specifies the requirements in terms of, but not limited to:
- 4.1.1.1 Scope of Work/Technical Specifications/Terms of Reference/Bill of Quantities. It must be aligned with the appropriate Divisions (e.g. I.T. Branding, Promotions, Stewarding – refer to the Corporate Planning guidelines) to ensure that the above is endorsed to SCD.
 - 4.1.1.2 Periodic Schedule of Requirement/Key Dates/Milestones
 - 4.1.1.3 Contract Duration
 - 4.1.1.4 Current Spend and/or Approved Budget
- 4.1.2 For those transactions that would require technical/ functional/ procurement evaluation, BU to agree on the criteria with SCD (who also performs commercial evaluation) and perform below functions:
- 4.1.2.1 Provide actual technical/functional evaluation
 - 4.1.2.2 In some cases and as requested by SCD , attend clarificatory/negotiation meetings with SCD
 - 4.1.2.3 Raise DP/Exec Ringi and following through approvals.
 - 4.1.2.4 Endorse contract agreements for approval of the final approving authority
 - 4.1.2.5 Submit approved PR (supported within approved Budget)

4.2 Procurement

- 4.2.1 Sources and procures products and services per requestor's requirements
- 4.2.2 Assesses the needs of products and services inquiry as proposed by the vendor
- 4.2.3 Tabulates suppliers' proposal and make recommendations to requestor. Tabulates as well (if applicable) the evaluation criteria and align with the BU on the over-all assessment during the bid tab approvals.
- 4.2.4 Negotiates commercial terms with the suppliers and responsible for ensuring that the winning bidders are accredited.

4.3 Procurement Systems

- 4.3.1 Responsible for creation/updating/maintenance of Item Master and bid price in RedRock system
- 4.3.2 Responsible for answering queries related to the use of procurement system
- 4.3.3 Manages the e-bid process in Supplier.Bid
- 4.3.4 Responsible in generating procurement reports in the Redrock system

5.0 GUIDELINES:

5.1 PURCHASE REQUEST (PR)

5.1.1 BU raises PR in the Redrock.

- 5.1.1.1 If applicable, Execution Ringi must be attached. All PRs created by BUs are subject to approval based on the latest RedRock Approval Matrix ("DIRECT CHARGE").
- 5.1.1.2 Unapproved PRs will not be visible to the Procurement team.
- 5.1.1.3 It is the BUs responsibility to follow-up on pending PR approval/s.
- 5.1.1.4 PRs that are approved past working hours will be processed the following business day.
- 5.1.1.5 If item is not available in Redrock, it is assumed that the company has never purchased the item before.
- 5.1.1.6 The Purchase Request due date should be aligned on what was negotiated with the vendor as part of the order to delivery lead time (i.e., can be seen in the bid tab)

5.1.2 Approved PRs will be automatically assigned to the responsible Buyer for review and processing.

- 5.1.2.1 For reorder, if the prices in the system are expired or no longer valid, the Buyer will redo competitive bidding, negotiation, contract renewal/extension (if applicable) and bid upload. PR prices will be manually reset by the Buyer and the Procurement Systems will reroute the PR for reapproval.

5.1.3 Buyer checks that the duly approved PR has the required attachments and notes.

- 5.1.3.1 Due diligence will be practiced to ensure that confidential information is not shared with suppliers. The internal remarks section should be used to document confidential details.
- 5.1.3.2 The following documents are the common required attachments to the PO for compliance.
 - 5.1.3.2.1 Execution Ringi, if applicable
 - 5.1.3.2.2 Signed Bid Tabulation
 - 5.1.3.2.3 Final Negotiation Notes (Signed by all participants), if applicable
 - 5.1.3.2.4 Final Revised Quotation or Proposal of Winning Vendor

5.1.4 Buyer converts duly approved PR to PO or BPO.

5.2 PURCHASE ORDER (PO)

5.2.1 Buyer reviews generated PO.

- 5.2.1.1 All POs must be generated from an approved PR. Strictly no manual or direct POs.
- 5.2.1.2 Relevant items from multiple PRs shall be consolidated into one (1) PO. Minimum of four (4) lines per PO.
- 5.2.1.3 All line items must have valid pricing. If price is not available or expired, the buyer must conduct a competitive bidding.
- 5.2.1.4 Tax terms must be mentioned on the PO Quick Notes based on the following:
 - 5.2.1.4.1 For procurement of non-gaming items related to our registered activities, based on Republic Act No. 119534 or the "Corporate Recovery and Tax Incentives for Enterprise" (CREATE) Act and the BIR Revenue Regulations (RR) 21-2021 and Revenue Memorandum Circular (RMC) 24-2022, TRLEI's non-gaming purchases are already subject to 12% VAT. (Note. All importation of non-gaming items classified as capital equipment which are not included on the PEZA approved importable may be subject to duties and taxes)
 - 5.2.1.4.2 For procurement of gaming items, vendors should treat TRLEI as a zero-rated (PAGCOR registered) company. The PAGCOR Certificate of Affiliation and Provisional License can be shared with the vendors if required. Local vendors will be instructed to mark their invoices with "zero-rated VAT".
 - 5.2.1.4.3 Gaming equipment and paraphernalia in Section 10 of PAGCOR's Casino Regulatory Manual (CRM),
 - 5.2.1.4.4 Facilities and/or technical services essential to Casino operations, or
 - 5.2.1.4.5 Commodities regulated by the Bureau of Customs

5.2.1.5 The following details must be updated on the Quick Notes/External comments:

5.2.1.5.1 Delivery Address

5.2.1.5.2 Department/Team

5.2.1.5.3 Contact Person

5.2.1.5.4 Special Delivery Instruction

5.2.1.5.5 Lead time

5.2.1.5.6 Payment Terms

5.2.1.5.7 Tax Terms (as applicable)

5.2.1.5.8 Transfer of Ownership (if applicable)

5.2.1.5.9 Warranty (if applicable)

5.2.1.5.10 Duration (if applicable)

5.2.1.5.11 PEZA PO

5.2.1.5.12 PAGCOR PO

5.2.1.6 Special instructions to the Receiving team shall be noted on the Internal Remarks of the PO.

5.2.1.7 Due diligence shall be practiced to ensure that confidential information is not shared with vendors. The internal remarks section should be used to document confidential details.

5.2.1.8 For importation, vendors must be properly oriented on the documentations required, e.g. commercial invoice must exactly mirror the PO information. Buyer to consult appropriate importation guidelines with Logistics team.

5.2.1.9 Receiving guidelines must be shared to the vendor.

5.2.2 PO is finalized by the Buyer.

5.2.2.1 PO shall be restricted by the procurement system if the total maximum spend limit per month has been reached. To override the restriction, Sr. Procurement Manager must email the SRM team. SRM team will increase the limit if following are met, otherwise, special approval is required from VP of SCD:

5.2.2.1.1 Payment terms is Net30, or

5.2.2.1.2 Vendor is willing to provide additional proof of cash that covers the financial deficit + PO for award, or

5.2.2.1.3 Surety bond, e.g. performance or payment bond, will be provided by supplier.

5.2.3 All POs are subject to approval based on the latest RedRock Approval Matrix ("PURCHASE ORDERS"). Once POs are approved, system automatically releases the PO to the supplier.

5.2.4 Vendors are not allowed to deliver goods without PO, i.e. after-the-fact POs are not allowed. Due diligence must be practiced by the Buyer to ensure that we get commitment or confirmation of delivery from the supplier. The acceptable order confirmation methods are as follows:

5.2.4.1 Supplier clicks the "Click here to confirm Order" in the PO notification email generated by the procurement system.

5.2.4.2 Supplier signs anywhere on the PO print which should be returned to the Buyer via email or fax.

5.2.4.3 Supplier sends email confirmation.

5.2.5 The following hard copies are printed out and filed in the SCD File Room.

5.2.5.1 Sourcing Request Form

5.2.5.2 Specs/Drawings/Statement and Scope of Work

5.2.5.3 Final Quotations/Proposals

5.2.5.4 Signed Bid Tabulation

5.2.5.5 Purchase Request/s

5.3 BLANKET PURCHASE ORDER (BPO)

5.3.1 Buyer reviews generated BPO.

5.3.1.1 BPOs are limited to BUs with approved BPO budgets.

5.3.1.2 In case of multiple PRs, the PR from BU who will use the BPO majorly will be used to create a BPO. Other PR#s will be noted on Quick Notes.

5.3.2 Buyer shall inform the relevant BUs once BPO is created.

5.3.3 BU to raise a CVMB (e.g. contract release) to order items included in BPO/s.

5.3.3.1 All contract releases are subject to approval based on the latest RedRock Approval Matrix.

5.3.4 The following hard copies are printed out and filed in the SCD File Room.

5.3.4.1 Sourcing Request Form

5.3.4.2 Specs/Drawings/Statement and Scope of Work

5.3.4.3 Final Quotations/Proposals

5.3.4.4 Signed Bid Tabulation

5.3.4.5 Notice of Award to Winning Bidder (if applicable)

5.3.4.6 Purchase Request/s

5.3.4.7 Purchase Order

5.4 PO AMENDMENT OR CANCELLATION

All PO amendments or cancellations are coursed through and performed only by the Procurement team.

5.4.1 BU submits amendment or cancellation request via email to Buyer.

5.4.1.1 The Supplier Code and the Receiving location cannot be altered. The system does not allow this.

5.4.1.2 The acceptable reasons for amendment are as follows:

5.4.1.2.1 Vendor is unable to provide all items or quantities

5.4.1.2.2 Amendment to an item case pack that results in a new item number and a change in the price

5.4.1.3 In the quick comments or external remarks, the Buyer must mention: "This is a change order, DO NOT duplicate" to avoid duplicate delivery.

5.4.1.4 Increase in pricing is not allowed. Vendor must adhere to original quote unless accepted and approved by Sr. Procurement Manager.

5.4.2 Buyer discusses with the vendor. Discussion is summarized and recorded by buyer on an email which is sent to the vendor and the Sr. Procurement Manager.

5.4.3 If vendor is amenable to the situation presented, Buyer will proceed with the required action.

5.4.3.1 To cancel a PO, the reason for cancellation shall be updated in the internal remarks of The Buyer then PO shall be deleted in the procurement system. PO Cancellation methods are as follows:

5.4.3.1.1 Delete Document - PO header and its line item shall be deleted and all reference PR shall be "re-opened".

5.4.3.1.2 Delete Line item - selected PO line item shall be deleted and would revert back as Open from the reference PR.

5.4.3.1.3 Close Document - PO or CV shall be fully closed in the system, including reference PR.

5.4.3.2 To amend a PO, reason for amendment is updated in the internal remarks section. The quick comments or external remarks is updated with "This is a change order, DO NOT

duplicate" to avoid duplicate delivery.

5.4.4 Due diligence must be practiced when a PO is cancelled or amended. The Buyer must get a confirmation or acceptance from the supplier.

5.5 PO/CV DELETION

5.5.1 Once PO is cancelled after coordinating/settling with vendor and BU, the PR for the PO will automatically revert back to 'Open Status'. To delete this floating PR, the following may be done:

5.5.1.1 Procurement Buyer to advise BU to delete PR in the RR system.

5.5.1.2 In case BU cannot perform above step, Procurement Buyer may ask assistance from Procurement System to delete PR in the system provided that PR cancellation acknowledgment email of BU is provided.

5.6 DRAFT PR/PO/CV DELETION

5.6.1 Clean-up/Deletion of Draft PR and CVMB in Redrock

5.6.1.1 Systems Team to generate a report weekly of draft/unapproved PR/CVMB in Redrock. The generated report will be shared to the different Procurement sections.

5.6.1.2 Buyers to initiate the clean-up/deletion of draft/unapproved PR/CVMB by sending an email to the concerned Business Units, requesting them any of the following:

- BU's confirmation to delete the draft/unapproved PR/CVMB in the system. Once confirmed, the buyer will send an email request to Systems team to assist in the deletion of the mentioned PR/CVMB.
- BU's confirmation if the PR/CVMB is still needed. If yes, then buyer will request the BU to finalize and have the PR/CVMB approved as soon as possible. However, if the PR/CVMB is not needed anymore, BU will confirm to the buyer that it is okay to delete and will be deleted by Systems team accordingly, or,
- BU's confirmation that they will delete the draft/unapproved PR/CVMB from their end.

5.6.2 Clean-up/Deletion of Draft PO in Redrock

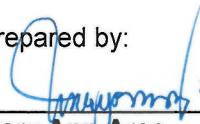
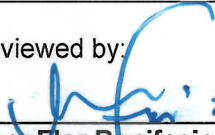
5.6.2.1 Systems Team to generate a report weekly of draft/unapproved PO in Redrock. The generated report will be shared to the different Procurement sections. Buyers to clean-up/deletion of draft/unapproved PO.

5.6.2.2 Once PO is deleted/cancelled, it will automatically return to PR level.

6 REVISION HISTORY:

No.	Effective Date	Reason of Revision	Prepared by	Reviewed by	Approved by
00	18-Dec-2019	Initial	R. Francisco	J. Baranda R. Basada	R. Aguas Jr.
01	03-Aug-2020	Change of signatories	R. O. Basada	R. B. Aguas Jr.	
02	03-Feb-2021	Revision of QMS Approval Matrix	S.P. Palaganas	R. O. Basada	R. Aguas Jr
03	28-Apr-2021	• Change in Document Number from SCD-PSS-SYS-GL to SCD-PSP-PRT-GL • Inclusion of PR deletion guidelines under 5.5 • Inclusion of PO cancellation methods under 5.4.3.1	M. Ramoso	R.O. Basada	R. Aguas Jr
04	16-Mar-2022	Inclusion of processes on deletion of Draft PR/PO/CV in RedRock System under 5.6	M. Ramoso	R.O. Basada	R. Aguas Jr
05	01-Apr-2023	• Updated the Preparer, Reviewer and Approver's Position Title • Revised Section 5.2.1.4.1.1 to	M. Arao	M. Bonifacio	R. Aguas Jr

		incorporate the imposition of 12% VAT for non-gaming purchases based on RA 11534 "CREATE Act" and RR 21-2021 and RMC 24-2022 • Revised 5.2.1.5 to align with the PO Quick Notes • Removed Section 5.2.1.6 – PO Codes			
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Prepared by:  <u>Mary Ann Arao</u> <u>Manager, Supplier Relationship Management & Quality Management System</u>	Reviewed by:  <u>Mary Flor Bonifacio</u> <u>Senior Manager, Supply Chain Business Support</u>	Approved by:  <u>Ricardo B. Aguas Jr.</u> <u>Vice President, Supply Chain, Procurement and Strategic Sourcing</u> Date: <u>31-MAR-2023</u>
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